

Section : Economics

Q.1 The priorities of the government in the fiscal area, examining current policies, and justifying any deviation in important fiscal measures, are set under statement.

1. Medium-term Fiscal Policy
2. The Fiscal Policy Strategy
3. The Macroeconomic Framework
4. Fiscal Responsibility and Budget Management Act

Options 1. 1

2. 2

3. 3

4. 4

Q.2 The excess of Government's Revenue Expenditure over Revenue Receipts is called

1. Revenue Deficit
2. Fiscal Deficit
3. Monetary Deficit
4. Primary Deficit

Options 1. 1

2. 2

3. 3

4. 4

Q.3 Which of the following indicates the sum total of Net National Product at market prices and other current transfers from the rest of the world?

1. Private Income
2. National Disposable Income
3. Gross Value Added
4. Transferred Income

Options 1. 1

2. 2

3. 3

4. 4

Q.4 Which of the following statements are true with regard to production?
(A) In the short run, at least one of the factors of production remains fixed.
(B) In the long run, all factors of production can be varied.
(C) A period can be defined as long run or short run simply by looking at whether all the inputs can be varied or not.
(D) In the long run, factors of production can be classified into fixed and variable.

Choose the correct answer from the options given below:

1. (A), (B), and (D) only
2. (A), (B), and (C) only
3. (A), (B), (C), and (D)
4. (B), (C), and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.5 Identify the concept which should be deducted from the value of gross investment in order to accommodate regular wear and tear of capital goods.

1. Investment
2. Capital
3. Depreciation
4. Consumption goods

Options 1. 1

2. 2

3. 3

Q.6 Identify the correct statements with regard to the consumer's budget line/set.

- (A) A decrease in the price of goods makes the budget line steeper.
- (B) A decrease in the price of goods makes the budget line flatter.
- (C) An increase in the price of goods makes the budget line steeper.
- (D) All bundles in the positive quadrant which are on or below the line are included in the budget set.

Choose the correct answer from the options given below:

- 1. (A), (B), and (D) only
- 2. (A), (B), and (C) only
- 3. (A), (B), (C), and (D)
- 4. (B), (C), and (D) only

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.7 The allocation of scarce resources and the distribution of the final goods and services are the of any economy.

- 1. States problems
- 2. Consumption problems
- 3. Central problems
- 4. Production problems

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.8 Arrange the following steps in sequence for estimating GNP_{mp} (Gross National Product at Market Price) in a particular year through the income method.

- (A) Adding consumption of fixed capital and Net Indirect Taxes.
- (B) Classify the economy into primary, secondary, and tertiary sectors.
- (C) Estimation of Factor Income within domestic territory.
- (D) Adding Net Factor Income from abroad.

Choose the correct answer from the options given below:

- 1. (A), (B), (C), (D)
- 2. (A), (C), (B), (D)
- 3. (B), (C), (A), (D)
- 4. (C), (B), (D), (A)

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.9 The "Ricardian equivalence" view argued that in the face of high deficits, people save more.

It is called 'equivalence' because it argues that taxation and borrowing are equivalent means of

- 1. Financing expenditure
- 2. Financing borrowing
- 3. Financing taxation
- 4. Financing deficit

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.10 Suppose a consumer purchases 15 bananas when the price is ₹5 per banana.

When the price increases to ₹7 per banana, the consumer reduces his demand to 12 bananas.

Find the price elasticity of demand.

- 1. 0.5

2. 0.6

3. 0.4

4. 0.7

Options 1. 1

2. 2

3. 3

4. 4

Q.11 Match List-I with List-II

List-I

List-II

(A) Gross Domestic Product at Market Prices (GDP_{mp})

(I) All the economic output produced by a nation's normal residents, whether they are located within the national boundary or abroad.

(B) Net Domestic Product at Market Prices (NDP_{mp})

(II) Sum of income earned by all factors in production in the form of wages, profits, rent and interest, belonging to a country during a year.

(C) Gross National Product at Market Prices (GNP_{mp})

(III) All production done by the national residents or the non-residents in a country gets included, regardless of whether that production is owned by a local company or a foreign entity.

(D) National Income (NI)

(IV) Income earned by the factors in the form of wages, profits, rent, interest, etc., within the domestic territory of a country.

Choose the correct answer from the options given below:

1. (A)-(I), (B)-(II), (C)-(III), (D)-(IV)

2. (A)-(I), (B)-(III), (C)-(II), (D)-(IV)

3. (A)-(II), (B)-(II), (C)-(IV), (D)-(III)

4. (A)-(III), (B)-(IV), (C)-(I), (D)-(II)

Options 1. 1

2. 2

3. 3

4. 4

Q.12 Identify the options which reflect the impact of simultaneous shifts of demand and supply on equilibrium.

(A) When demand shifts right and supply left, quantity may increase, decrease or remain unchanged but price decreases.

(B) When demand and supply shift leftward, quantity decreases but price may increase, decrease or remain unchanged.

(C) When demand and supply shift rightward, quantity increases but price may increase, decrease or remain unchanged.

(D) When demand shifts left and supply right, quantity may increase, decrease or remain unchanged but price decreases.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only

2. (A), (B) and (C) only

3. (A), (B), (C) and (D)

4. (B), (C) and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.13 Arrange the following statements related to negative externalities in the correct sequence:

(A) There is an oil refinery which refines crude petroleum and sells it in the market.

(B) Pollution harms well-being and also kills fish or other organisms.

(C) Production by the refinery may also be polluting the nearby river.

(D) Such harmful effects that the refinery is inflicting on others, for which it will not bear any cost, are called externalities.

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (C), (B), (D)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.14 Which of the following is not an example of Net Invisible items?

1. Banking
2. Shipping
3. Machinery
4. Tourism

Options 1. 1

2. 2
3. 3
4. 4

Q.15 Who wrote the book "The Economic Consequences of the Peace"?

1. John Maynard Keynes
2. Adam Smith
3. J. S. Mill
4. Alfred Marshall

Options 1. 1

2. 2
3. 3
4. 4

Q.16 Arrange the following in correct sequence to attain equilibrium under perfect competition.

- (A) LRMC starts rising.
- (B) Both LRAC and LRMC fall.
- (C) Both LRAC and LRMC rise.
- (D) LRMC cuts LRAC from below.

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (C), (B), (D)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.17 Match List-I with List-II

List-I

List-II

- | | |
|------------------------------------|----------------------------|
| (A) Marginal propensity to consume | (I) $\Delta S / \Delta Y$ |
| (B) Marginal propensity to save | (II) $\Delta C / \Delta Y$ |
| (C) Average propensity to consume | (III) S / Y |
| (D) Average propensity to save | (IV) C / Y |

Choose the correct answer from the options given below:

1. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
2. (A) – (I), (B) – (III), (C) – (II), (D) – (IV)
3. (A) – (II), (B) – (I), (C) – (IV), (D) – (III)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.18 Any allocation of resources by the society would result in the of a particular combination of different goods and services.

1. Consumption
2. Production
3. Exchange
4. Demand and supply

Options 1. 1

2. 2
3. 3
4. 4

Q.19 The unsold finished goods, semi-finished goods, or raw materials which a firm carries from one year to the next is a

1. Flow and stock variable
2. Flow variable
3. Stock variable
4. Constant variable

Options 1. 1

2. 2
3. 3
4. 4

Q.20 Match List-I with List-II

List-I

List-II

- | | |
|-------------------------|--|
| (A) Total Variable Cost | (I) $TR - (TVC + TFC)$ |
| (B) Total Revenue | (II) $TVC_n - TVC_{n-1}$ |
| (C) Profit | (III) Average Variable Cost x Quantity |
| (D) Marginal Cost | (IV) Price x Quantity |

Choose the correct answer from the options given below:

1. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
2. (A) – (I), (B) – (III), (C) – (II), (D) – (IV)
3. (A) – (I), (B) – (II), (C) – (IV), (D) – (III)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.21 Choose the correct statements:

- (A) Intermediate goods are used as raw materials or inputs for production of other commodities.
- (B) Consumer goods are consumed when purchased by their ultimate consumers.
- (C) Intermediate goods crossed production process boundary.
- (D) Capital goods have a durable character which are used in the production process.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (B) and (C) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.22 The domestic services performed by women at home are categorized as:

1. Non-monetary exchanges
2. Externalities
3. Personal services
4. Social services

Options 1. 1

2. 2
3. 3
4. 4

Q.23 Arrange the following statements related to the change in demand for a normal good.
(A) The consumer's income increases.
(B) Given the prices of other goods and the preferences of the consumer,
(C) The demand curve shifts rightward.
(D) The demand for the normal good at a given price changes.
Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (C), (B), (D)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.24 In order to arrive at Gross Primary Deficit, what should be deducted from Gross Fiscal Deficit?
1. Borrowing from abroad
2. Net factor income from abroad
3. Net interest liabilities
4. Transfer payments

Options 1. 1

2. 2
3. 3
4. 4

Q.25 Calculate the value of Operating Surplus from the followi
• Wages and Salaries = ₹2,000
• Rent = ₹1,000
• Interest = ₹500
• Employer's contribution in social security scheme = ₹200
• Royalty = ₹300
• Profits = ₹200

;

Options:

1. ₹4,200
2. ₹2,200
3. ₹4,000
4. ₹2,000

Options 1. 1

2. 2
3. 3
4. 4

Q.26 With regard to price elasticity, in general, demand for a luxury good is likely to be
1. Inelastic
2. Unitary elastic
3. Perfectly inelastic
4. Elastic

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.27

Choose the correct statements from the following:

- (A) Capital goods are those goods which are bought not for meeting immediate need of the consumer but for producing other goods.
- (B) Households refer to the families or individuals who supply factors of production to the firms and which buy the goods and services from the firms.
- (C) Consumer Price Index is the index of prices of a given basket of commodities which are bought by the representative consumer.
- (D) Wholesale Price Index refers to the percentage change in the weighted average price level.

Choose the correct answer from the options given below:

- 1. (A), (B), (C) and (D)
- 2. (A), (B) and (C) only
- 3. (A), (B) and (D)
- 4. (B), (C) and (D) only

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.28 If the current exchange rate is ₹80 to a pound and investors believe that the pound is going to appreciate by the end of the month and will be worth ₹85, investors think if they gave the dealer ₹80,000 and bought 1,000 pounds, at the end of the month, they would be able to exchange the pounds for ₹85,000, thus making a profit of

- 1. ₹5,000
- 2. ₹1,000
- 3. ₹85,000
- 4. ₹80,000

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.29 NNP at market prices – (Indirect taxes – Subsidies) =

- 1. Personal Income
- 2. Gross National Income
- 3. Gross Domestic Product
- 4. National Income

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.30 There are two firms in an economy. Firm A gives ₹20 to workers as wages and keeps ₹30 as profit. Similarly Firm B gives ₹60 as wages and keeps ₹90 as profit. Calculate GDP.

- 1. ₹200
- 2. ₹120
- 3. ₹50
- 4. ₹150

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.31 Identify where the point will lie in the Production Possibility Frontier (PPF) when the resources are either underemployed or utilized in a wasteful manner.

1. A point below the production possibility frontier
2. A point above the production possibility frontier
3. A point on the production possibility frontier
4. A point on or above the production possibility frontier

Options 1. 1

2. 2
3. 3
4. 4

Q.32 Under perfect competition, if firms earn supernormal profits, arrange the following statements to arrive at the implication of free entry and exit of firms:

- (A) Market price falls in such a manner that firms will be earning normal profits only and thus no more firms will have incentive to enter the market.
(B) Some new firms will enter the market.
(C) At the prevailing market price, each firm is earning supernormal profit.
(D) Demand remains unchanged but the market supply curve shifts rightward.

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (C), (B), (D)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.33 Match List-I with List-II

List I

(A) A proportional increase in all inputs results in an increase in output by a smaller proportion

(B) A proportional increase in all inputs results in an increase in output by a larger proportion

(C) A proportional increase in all inputs results in an increase in output by the same proportion

(D) Factor proportions change as long as one factor is held constant and the other factors increase

List II

(I) Constant returns to scale

(II) Law of variable proportions

(III) Decreasing returns to scale

(IV) Increasing returns to scale

Choose the correct answer from the options given below:

1. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
2. (A) – (I), (B) – (III), (C) – (II), (D) – (IV)
3. (A) – (I), (B) – (II), (C) – (IV), (D) – (III)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.34 Prices of a given basket of commodities which are bought by the representative consumer is indicated by which of the following?

1. Wholesale Price Index
2. Consumer Price Index
3. Market price
4. Commodity Price

Options 1. 1

2. 2
3. 3
4. 4

Q.35 In the perfectly competitive market, if 10 packets of bread are sold at the price of Rs. 25 per packet, what will be the total revenue of a bread manufacturer?

1. Rs. 25
2. Rs. 250
3. Rs. 0.4
4. Rs. 2.5

Options 1. 1

2. 2
3. 3
4. 4

Q.36 Which of the following are called 'above the line' in the balance of payments?

1. International Transactions
2. Errors and Omissions
3. Accommodating Transactions
4. Autonomous Transactions

Options 1. 1

2. 2
3. 3
4. 4

Q.37 What causes an indifference curve to be convex to the origin?

1. Marginal utility
2. Market Rate of Exchange
3. Law of Diminishing Marginal Rate of Substitution
4. Law of Increasing Marginal Rate of Substitution

Options 1. 1

2. 2
3. 3
4. 4

Q.38 Match List-I with List-II

List-I

List-II

- | | |
|------------------|--|
| (A) Devaluation | (I) Price of foreign currency in terms of domestic currency increases |
| (B) Revaluation | (II) Price of domestic currency in terms of foreign currency increases |
| (C) Depreciation | (III) Increase the exchange rate by the action of the Government |
| (D) Appreciation | (IV) Decreases the exchange rate by the action of the Government |

Choose the correct answer from the options given below:

1. (A) – (I), (B) – (II), (C) – (III), (D) – (IV)
2. (A) – (I), (B) – (III), (C) – (II), (D) – (IV)
3. (A) – (I), (B) – (II), (C) – (IV), (D) – (III)
4. (A) – (III), (B) – (IV), (C) – (I), (D) – (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.39 What are the main sources of demand in a closed economy?

1. Consumption, government spending, and domestic investment
2. Consumption, net exports and government spending
3. Consumption, government spending, domestic investment and net exports
4. Government spending, net exports and domestic investment

Options 1. 1

2. 2
3. 3
4. 4

Q.40 The intervention of the government, whether to expand demand or reduce it, constitutes the _____ function.

1. Public production
2. Allocation
3. Redistribution
4. Stabilisation

Options 1. 1

2. 2
3. 3
4. 4

Q.41 Shapes of the Long Run Cost Curves

It is argued that in a typical firm IRS is observed at the initial level of production. This is then followed by the CRS and then by the DRS. LRAC curve downward sloping part corresponds to IRS and upward rising part corresponds to DRS. At the minimum point of the LRAC curve, CRS is observed. For the first unit of output, both LRMC and LRAC are the same. Then, as output increases, LRAC initially falls, and then, after a certain point, it rises. As long as average cost is falling, marginal cost must be less than the average cost. When the average cost is rising, marginal cost must be greater than the average cost. LRMC curve cuts the LRAC curve from below at the minimum point of the LRAC.

In the long run, marginal cost curve shape is _____

1. 'V'-shaped curve
2. Horizontal curve
3. 'U'-shaped curve
4. Downward sloping curve

Options 1. 1

2. 2
3. 3
4. 4

Q.42 Shapes of the Long Run Cost Curves

It is argued that in a typical firm IRS is observed at the initial level of production. This is then followed by the CRS and then by the DRS. LRAC curve downward sloping part corresponds to IRS and upward rising part corresponds to DRS. At the minimum point of the LRAC curve, CRS is observed. For the first unit of output, both LRMC and LRAC are the same. Then, as output increases, LRAC initially falls, and then, after a certain point, it rises. As long as average cost is falling, marginal cost must be less than the average cost. When the average cost is rising, marginal cost must be greater than the average cost. LRMC curve cuts the LRAC curve from below at the minimum point of the LRAC.

At the final level of production, a typical firm observed —

1. Increasing returns to scale
2. Constant returns to scale
3. Decreasing returns to scale
4. Total production

Options 1. 1

2. 2
3. 3
4. 4

Q.43 Shapes of the Long Run Cost Curves

It is argued that in a typical firm IRS is observed at the initial level of production. This is then followed by the CRS and then by the DRS. LRAC curve downward sloping part corresponds to IRS and upward rising part corresponds to DRS. At the minimum point of the LRAC curve, CRS is observed. For the first unit of output, both LRMC and LRAC are the same. Then, as output increases, LRAC initially falls, and then, after a certain

point, it rises. As long as average cost is falling, marginal cost must be less than the average cost. When the average cost is rising, marginal cost must be greater than the average cost. LRMC curve cuts the LRAC curve from below at the minimum point of the LRAC.

As long as average cost is falling —

1. Marginal cost > Average cost
2. Marginal cost < Average cost
3. Marginal cost = Average cost
4. Marginal cost = Total cost

Options 1. 1

2. 2
3. 3
4. 4

Q.44 Shapes of the Long Run Cost Curves

It is argued that in a typical firm IRS is observed at the initial level of production. This is then followed by the CRS and then by the DRS. LRAC curve downward sloping part corresponds to IRS and upward rising part corresponds to DRS. At the minimum point of the LRAC curve, CRS is observed. For the first unit of output, both LRMC and LRAC are the same. Then, as output increases, LRAC initially falls, and then, after a certain point, it rises. As long as average cost is falling, marginal cost must be less than the average cost. When the average cost is rising, marginal cost must be greater than the average cost. LRMC curve cuts the LRAC curve from below at the minimum point of the LRAC.

LRMC cuts the LRAC curve from below at the point where —

1. LRMC is at minimum
2. LRAC is at minimum
3. LRAC is at maximum
4. LRMC is at maximum

Options 1. 1

2. 2
3. 3
4. 4

Q.45 Shapes of the Long Run Cost Curves

It is argued that in a typical firm IRS is observed at the initial level of production. This is then followed by the CRS and then by the DRS. LRAC curve downward sloping part corresponds to IRS and upward rising part corresponds to DRS. At the minimum point of the LRAC curve, CRS is observed. For the first unit of output, both LRMC and LRAC are the same. Then, as output increases, LRAC initially falls, and then, after a certain point, it rises. As long as average cost is falling, marginal cost must be less than the average cost. When the average cost is rising, marginal cost must be greater than the average cost. LRMC curve cuts the LRAC curve from below at the minimum point of the LRAC.

When the average cost is rising, then.

1. Marginal cost = Total cost
2. Marginal cost = Average cost
3. Marginal cost < Average cost
4. Marginal cost > Average cost

Options 1. 1

2. 2
3. 3
4. 4

Q.46 Money and Banking

Exchange of commodities without the mediation of money is called barter exchange. It requires double coincidence of wants. Money facilitates exchanges by acting as a commonly acceptable medium of exchange. In a modern economy, people hold money broadly for two motives — transaction motive and speculative motive. Supply of money, on the other hand, consists of currency notes and coins, demand and time deposits held by commercial banks, etc. It is classified as narrow and broad money

according to the decreasing order of liquidity. In India, the supply of money is regulated by the Reserve Bank of India (RBI) which acts as the monetary authority of the country. The commercial banks of the country and RBI are responsible for changes in the supply of money in the economy. RBI regulates money supply by controlling the stock of high powered money, the bank rate and reserve requirements of the commercial banks.

Which system requires double coincidence of wants?

1. Exchange
2. Money exchange
3. Barter exchange
4. Mediation of money

Options 1. 1

2. 2
3. 3
4. 4

Q.47 Money and Banking

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Reserve Bank of India (RBI) is also known as by which other name.

1. Central Bank
2. Commercial banks
3. Cooperative banks
4. Regional rural banks

Options 1. 1

2. 2
3. 3
4. 4

Q.48 Money and Banking

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The bank rate and reserve money are the monetary tools of RBI to regulate the money flow with

1. Cooperative banks
2. External banks
3. Central bank
4. Commercial banks

Options 1. 1

2. 2
3. 3
4. 4

Q.49 Money and Banking

Exchange of commodities without the mediation of money is called barter exchange. It requires double coincidence of wants. Money facilitates exchanges by acting as a commonly acceptable medium of exchange. In a modern economy, people hold money broadly for two motives – transaction motive and speculative motive. Supply of money, on the other hand, consists of currency notes and coins, demand and time deposits held by commercial banks, etc. It is classified as narrow and broad money according to the decreasing order of liquidity. In India, the supply of money is regulated by the Reserve Bank of India (RBI) which acts as the monetary authority of the country. The commercial banks of the country and RBI are responsible for changes in the supply of money in the economy. RBI regulates money supply by controlling the stock of high powered money, the bank rate and reserve requirements of the commercial banks.

What is the principal motive for holding money?

1. Transaction motive
2. Speculative motive
3. Demand for money
4. Supply of money

Options 1. 1

2. 2
3. 3
4. 4

Q.50 Money and Banking

Exchange of commodities without the mediation of money is called barter exchange. It requires double coincidence of wants. Money facilitates exchanges by acting as a commonly acceptable medium of exchange. In a modern economy, people hold money broadly for two motives – transaction motive and speculative motive. Supply of money, on the other hand, consists of currency notes and coins, demand and time deposits held by commercial banks, etc. It is classified as narrow and broad money according to the decreasing order of liquidity. In India, the supply of money is regulated by the Reserve Bank of India (RBI) which acts as the monetary authority of the country. The commercial banks of the country and RBI are responsible for changes in the supply of money in the economy. RBI regulates money supply by controlling the stock of high powered money, the bank rate and reserve requirements of the commercial banks.

The classification of money in terms of narrow and broad money is due to

.....

1. Transaction motive
2. Liquidity
3. Speculative motive
4. Demand

Options 1. 1

2. 2
3. 3
4. 4